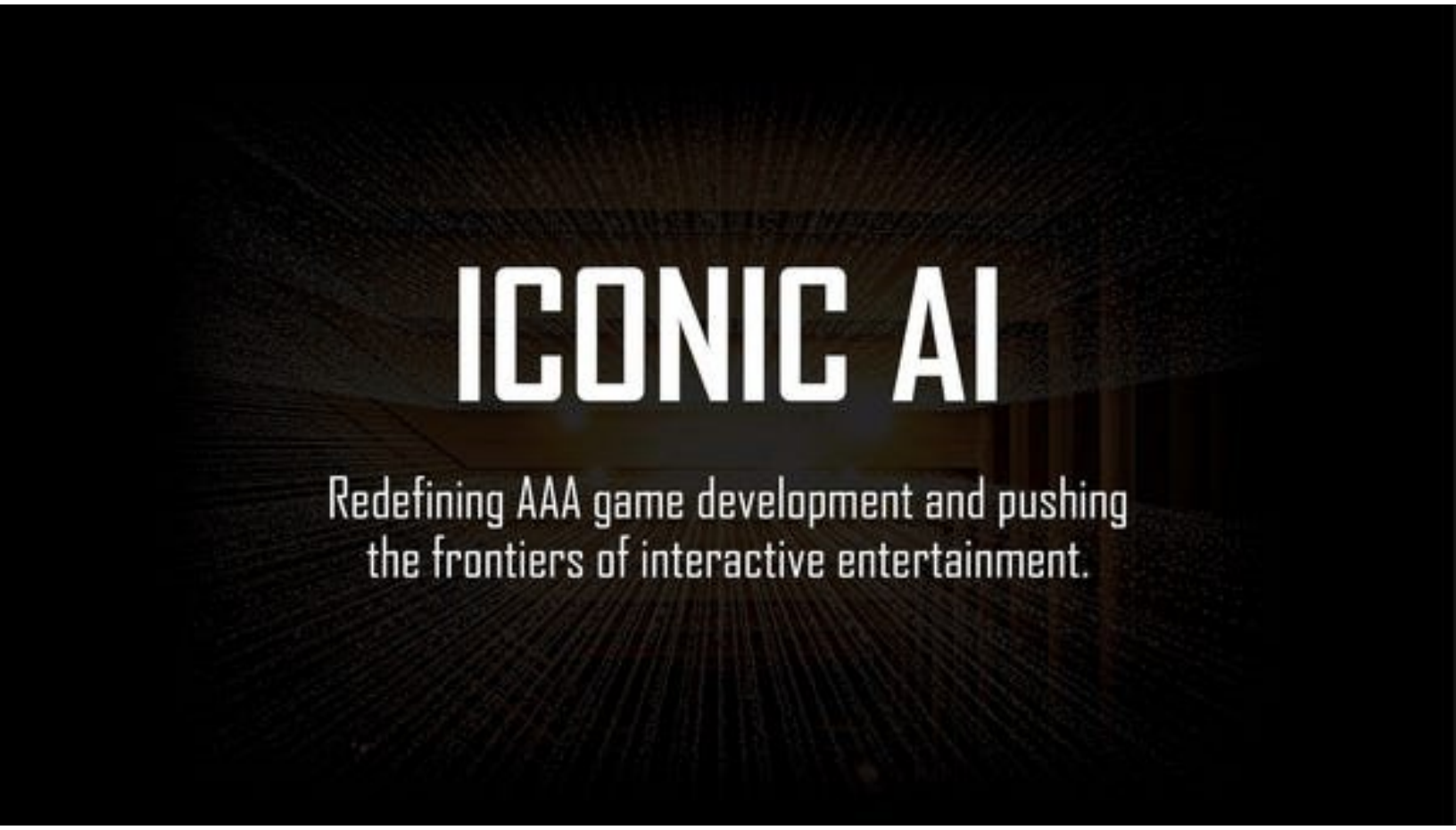



ICONIC AI
Redefining AAA game development and pushing
the frontiers of interactive entertainment.

ICONIC

Gaming is HUGE.

- **Billions** of people play games all over the world.
- The games industry is several times larger than the film and music industries **combined**.
- AAA games such as GTA, The Witcher, Diablo, Red Dead Redemption, Diablo, Elder Scrolls, Cyberpunk, Elden Ring, and Hogwarts Legacy consistently gross **far higher** than even blockbuster films.
- Grand Theft Auto V has sold over 200 million **copies**.
- Microsoft paid **$69 billion** for Activision Blizzard - the largest acquisition globally this decade.



ICONIC

AAA has barely changed since the 90s.

- For 30 years, AAA game development has grown in complexity and **bloat**.
- A single game can reach **hundreds of millions of dollars** and **thousands of people** for **years on end**!
- There is a **critical supply bottleneck** at a time when players are demanding more for less.
- The model is **no longer sustainable** or profitable, causing a wave of cancelled games and closed studios.
- In AAA, PC and console gaming, there hasn't been a unicorn startup challenger in EMEA **since the 1990's.**



ICONIC

The industry is in paralysis.

Blizzard cancels survival game following layoffs



/ The news comes after Microsoft laid off 1,900 workers from Activision Blizzard and Xbox.

The Last Of Us: Developer Naughty Dog cancels next game



Embracer Group cut 27% of its workforce in the last year

Embracer Group's latest financial reports have revealed significant cuts to its workforce.

24 May 2024

Leah J. Williams

[UPD] Creative Assembly to become victim of Sega's "structural reforms" expected to result in losses of over $95 million

Published by Evgeniy Obedkov



PlayStation to axe 900 jobs and close London studio



02.29.2024 / TECH

What's driving the flood of layoffs in the video game industry?

Blame the rapidly escalating cost of game development and a spike in interest rates.



ICONIC

Generative AI is a big deal for AAA gaming.

- AAA game development is the **most complicated** form of software, spanning 3D asset creation, game design, programming, lightning, physics, testing, animation, audio, translation, etc.
- AI is redefining workflows across every single one of these areas, bringing **huge leverage** to individual talent, unleashing creativity, accelerating production, and making new things possible.
- **Most** 'picks and shovels' are being built by the tech giants, tooling startups, and game engine companies.
- Gameplay itself will be **transformed** by more immersive environments, natural conversations with intelligent in-game characters, and dynamic storylines driven by deeper personalisation.



ICONIC

And a generational opportunity.

- Tremendous value will come from **combining** AI tools and technologies with incredible talent to craft amazing games, which is where the lion's share of the revenue is.
- Incumbents will move **slowly** and don't have the right talent or culture.
- There is a generational opportunity to build the **category-defining** company in this new era of gaming.
- Previous major technological disruption in media (CGI, VR/AR, social, mobile, etc.) was always spearheaded by **startup challengers** such as Pixar ($7bn), Spotify ($60bn), Niantic ($9bn), Zynga ($13bn), and Supercell ($10bn).



ICONIC

$4 million: proprietary R&D and our first game.

- Off the back of proprietary R&D, we are developing our first internal product: an **engine for AI-powered gameplay**.
- Using early prototypes of our engine, we have built playable demos that showcase a **whole new kind** of gaming experience.
- With the team and a set of technical capabilities in place, we are now working on our **first game**.
- We need enough runway to sustain our 'minimum viable team' through to securing our first **game deal**.



ICONIC

The long-term future of gaming.

- In parallel to our near-term goals, we are continuing to work on deep R&D to drive **breakthrough capabilities** for future games.
- Our medium-term goal is to deliver a groundbreaking **open world AAA** experience that sets the bar for immersion, interaction, and storytelling.
- As development costs and timelines come down, our aim is for Iconic to become a platform across many games, empowering incredible teams to take real **creative risk** again.



ICONIC

Iconic AI: a hybrid culture under one roof.

Deep R&D talent:

DeepMind, Microsoft, Sony AI, Meta, Oculus, Five AI, Apple, and Unity

Leading creative/gaming talent:

Rockstar, Pixar, CD Projekt, Square Enix, Ubisoft, Tencent, Sony, DreamWorks, King, and Zynga

Network of advisors and angels:

Disney, DeepMind, OpenAI, NBC, Embracer Group, and Cambridge

